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Sunday Start | What's Next in Global Macro

New Chair, New Chapter

Kevin Warsh's [first meeting as Fed Chair](#) marked a new chapter. Chair Warsh intentionally gave little guidance on the path of monetary policy; he has said that reducing "forward guidance" is central to his philosophy. He highlighted important forthcoming changes, but as with the policy rate, he did not specify the likely path.

The market's expectations for a rate hike this year were reinforced by the statement and Warsh's press conference. The blunt statement that "[t]he Committee will deliver price stability" seems clear, but (again...by design) the path was not laid out. Before determining when the Fed will hike rates and by how much, consider the following. Chair Warsh did not write down his own projection for the policy rate. The median FOMC participant expects only one hike this year, but with the addition of that one dot, the median could have been no hikes.

Moreover, that policy path was plotted alongside a forecast of 3.3% core inflation for 2026. But the boost to prices from tariffs is largely complete, so we expect notable disinflation for the remainder of the year. Oil prices are sharply lower, so the risk of "second-round" inflation from energy seems to have receded markedly. The FOMC's inflation forecast is plausible, but not the most likely. If inflation materially undershoots, the fact that the median participant expected to cut rates next year presents a puzzle. Why hike rates only once if inflation undershoots and you expect to cut rates anyway?

The task forces the Chair laid out represent bigger changes for the Fed. On the balance sheet, little guidance was given, but Warsh's advocacy for a smaller balance sheet is established. I have been part of Fed staff work groups laying out options for the implementation of policy in the past. There is a clear path to a notably lower balance sheet that could allay many, if not all, concerns of those who prefer the status quo. Simply halving the Treasury's account at the Fed would reduce the balance sheet by roughly a half trillion, with literally no effect on markets. Paying substantially less on some portion of reserves than on the reverse repo facility (and thereby Treasury bills) could reduce bank demand for reserves, so a smaller supply could still be "ample." Changes to liquidity regulation would further dampen that demand. Ultimately, I suspect the balance sheet will decline by more than many expect, but I also suspect the market implications will be less important than most fear. Lower bank demand for reserves met by an increase in bills as Treasury refunds the debt the Fed sheds should have little net effect. The clear exception is if the Fed becomes an active seller of MBS.

Less clear are the implications of the task force on inflation. The Chair reaffirmed the 2% inflation target, but the TIPS market already confronts a basis between the PCE measure of inflation, which the Fed targets, and CPI. Could there be an additional disconnect? Will the study lead to moving the goal posts? We have few hints for now.

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The other notable change is communications. The statement was overhauled, much shorter, and rearranged. That change, however, is not unprecedented. Until 1994, the Fed did not issue post-meeting statements, and even once it started, it did not do so after every meeting. The length and content of the statement have evolved significantly since then, getting longer and then shorter, only to grow again. The reduction or elimination of “forward guidance” is also less momentous than it appears. Economists have long argued that its true value is at the effective lower bound. The shift may help communication, because while policymakers view the dot plot and their speeches as conditional on the data, to the extent markets take utterances as commitments, we get miscommunication.

How different will the Fed be a year from now? Very different, I suspect, in many aspects of the Chair’s communications. I also suspect the size of balance sheet could be very different. But when it comes to monetary policy through rates, I am less convinced the change will be as stark.

Enjoy your Sunday.

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What I'm Reading This Week

[US Economics and Fixed Income Strategy: June FOMC Reaction: Hawkish Today, Reforms Tomorrow \(18 Jun 2026\)](#)

[U.S. Data Pulse: CPI: May CPI: Tariff push might be near completion \(10 Jun 2026\)](#)

[Global Technology: Chipflation – Navigating A Memory Crisis \(2 Jun 2026\)](#)

[Global Economic Briefing: Reshoring? Not Quite Yet \(9 Jun 2026\)](#)

What We Are Watching This Week

MONDAY, JUNE 22

Euro area consumer confidence: We expect consumer confidence to rebound a touch in June, at –18.5 from –19.0 previously, albeit still a low level.

TUESDAY, JUNE 23

Euro area PMIs: We expect EA composite PMI to rebound to 50.2 in June from 48.5 in May. The data is collected in the second half of the month and is thus likely to show improved sentiment on the back of US-Iran agreement and the recent fall in oil prices.

Hungary Base Rate: We expect the NBH to ease its base rate by 25bp to 6% at its upcoming June core meeting. Further ahead, we see the policy rate falling to 5.50% in end-2026 and 4.50% in end-2027. While we see risks of a

more front-loaded easing cycle, we believe the NBH would remain cautious. We expect it to retain its data-driven approach, given uncertainties around domestic fiscal and regulatory policy, and the outlook for external monetary conditions.

Argentina 1Q26 GDP: We forecast 1Q26 GDP growth at 1.9% y-o-y, mainly supported by exports.

US Factory surveys: After Empire State and Philadelphia Fed factory surveys, we are expecting the manufacturing ISM index rises to 54.3 from 54.0, suggesting continued momentum in manufacturing growth. The S&P measure is important to the forecast. Just as important will be the question of pass-through of fast-rising input prices to final prices. We've found the S&P prices received index to correlate better with core goods consumer inflation than other measures. So far, prices paid measures for May remained elevated, but the prices received indexes were less conclusive: The Empire measure remained high, but the Phila. Fed measure retreated.

WEDNESDAY, JUNE 24

German ifo: We expect ifo business climate to move up to 85.3 in June from 84.9 in May, on the back of the agreement between the US and Iran.

US New home sales: The drop in new home sales last month surprised us. We expect a modest 1.3% m/m rise in May to a still low 630k. May inputs were mixed, with a pickup in homebuilder confidence and mortgage apps but a slight decline in starts. So far, real residential investment is tracking little changed (about a 0.5% q/q annual rate) in 2Q, reflecting weakness in new home sales and housing starts and some offset from existing home sales,

US Current account balance: A wider deficit in goods likely led the current account deficit up in 1Q. At 2.8% of GDP, it would be 0.4 pct pt wider than in 4Q but still much narrower than 3.7% in 2025, 4.0% in 2024, and 3.3% in 2023.

THURSDAY, JUNE 25

Mexico Banxico Meeting: We expect Banxico to remain on hold and keep rates unchanged at 6.50%, while inflation risks still remain tilted to the upside.

Brazil IPCA-15: We expect June IPCA-15 at 0.38% m-o-m, driven by a decelerating but still resilient food inflation and lower fuel prices, partially offset by higher electricity tariffs.

US Personal Income and Spending: We expect real personal spending rose 0.3% m/m with goods up 0.7% and services up 0.2%. With this forecast, we track 2Q real consumption up 2.9% q/q saar. The May retail sales print was stronger than we expected. We continue to expect later drag on goods from the oil shock, but the data suggest upside risk. Nominal spending rises 0.8% m/m in May. We expect nominal personal income rose 0.4% m/m with labor compensation also up 0.4%. Real disposable personal income is down 0.1% m/m and the saving rate falls further to 2.4%.

US PCE Prices: We expect May core PCE inflation at 0.36% m/m and headline at 0.48% m/m. Including our forecast for historical revisions (Jan +3bp, and April -1bp), the 3-month and 6-month annualized core PCE pace as of April comes to 3.58% and 4.20% (vs. 3.74% and 3.83% in April). The y/y rate is expected to be 3.44% in May (vs 3.31% in April).

US Durable goods orders: Orders probably fell sharply in May because of a drop in aircraft orders. But we expect continued rapid increase in underlying orders, driven by decent ongoing increase in volume plus increased price pressures.

US Jobless claims: Claims have picked up over the past month. Levels are still low and layoffs limited. But they are signalling slightly faster layoffs and slower re-employment in June than in the prior several months and some modest slowing in payroll growth.

US GDP: We forecast a 0.1 pt downward revision to 1Q real consumption (to a 1.3% q/q annual rate) as prices are revised slightly higher. Headline GDP likely is again reported at a 1.6% q/q annual rate — not quite rounding down to a 1.5%.

FRIDAY, JUNE 26

US Trade in goods: We forecast a widening deficit on increased consumer goods import volumes. Retail sales have been strong enough to suggest stronger.

US University of Michigan consumer sentiment: Our summary of long-run inflation expectations has moved up only little, in contrast to the surge in the Michigan measure. In the preliminary estimate for June, long-run inflation expectations in this survey retreated sharply to 3.4% from 3.9% in May.

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